IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No 303

C.P.(CAA)/43(AHM)2022
IN
C.A.(CAA)/18(AHM)2022

Order under Section 232-232

IN THE MATTER OF:
M/s. Positronics Control Systems Private Limited
M/s. Positronics Private Limited

.....Applicant

Order delivered on: 03/03/2023

Coram:
Dr. Madan B Gosavi, Hon'ble Member(J)
Ajai Das Mehrotra, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order. The order is pronounced in the open Court, vide separate sheet.

-Sd-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-
DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
(COURT NO. II)

CP (CAA)/43(AHM)2022
IN
CA (CAA)/18(AHM)2022

(In the matter of Sections 230-232 the Companies Act, 2013)

In the matter of Scheme of Arrangement in the nature of Merger

OF

M/s. Positronics Control Systems Private Limited
(Petitioner Company No. 1/ Transferor Company)

WITH

M/s. Positronics Private Limited
(Petitioner Company No. 2/ Transferee Company)

Order Pronounced on: 03/03/2023

Coram:
DR. MADAN BHALCHANDRA GOSAVI,
HON'BLE MEMBER (JUDICIAL)
AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

In the matter of:

M/s. Positronics Control Systems Private Limited
(CIN: U33121GJ1991PTC016231)
Registered Office at:
612, Yash Kamal Buliding,
Sayajigunj, Baroda,
Gujarat - 390005.

… Petitioner Company No. 1/
Transferor Company

M/s. Positronics Private Limited
(CIN: U32201GJ1979PTC003569)
Registered Office at:
882/2 GIDC Makarpura,
Vadodara, Gujarat - 390010.

… Petitioner Company No. 2/
Transferee Company

For the Petitioners : Mr. Niraj Trivedi, PCS.

ORDER

1. This joint petition has been filed by the petitioner companies above named under Sections 230 and 232 the Companies Act, 2013 (for brevity 'the Act') seeking sanction of the Scheme of Amalgamation (hereinafter called the "Scheme") of the M/s. Positronics Control Systems Private Limited (for brevity referred as "Transferor Company") and M/s. Positronics Private Limited (for brevity referred as "Transferee Company").

2. From the records, it is seen that joint first motion application seeking directions for dispensation of all the meetings of the equity shareholders, secured and unsecured creditors of both the Petitioner Companies was allowed vide order dated 23.06.2022.

3. The 2nd motion joint petition, was admitted vide order dated 15.07.2022, issuing Notices to the concerned Regulatory authorities and also directing publication in the newspapers "Business Standard" for English language Ahmedabad Edition and in Gujarati language in "Sandesh", Ahmedabad Edition. Petitioner Companies have filed respective compliance affidavits.

4. The Regional Director, North Western Region, MCA has filed common report on 18.08.2022 along with the report of RoC, Ahmedabad, seeking following directions:

   i) The petitioner companies to undertake the compliance of section 232(3)(i) of the Companies Act, 2013 and to pay fees accordingly.

   ii) It is observed from para 13(b) of the order dated 23.06.2022 passed by the Hon'ble NCLT, that there is no secured creditor in the transferor company. However, as per the charge Index available on MCA 21 portal, the applicant transferor company is having 01 open charge/secured creditor. The details of the same are as under:

Charge ID	Name of secured creditors	Date of Creation	Amount (in Rs.)
10278599	Bank of Baroda	19/03/2011	99500000.00

The transferor Company has not filed a satisfaction of Charge as per the requirement of Section 82 of the Companies Act, 2013 r.w. Rule 3 and Rule 8 of Companies (Register of Charges) Rules, 2014.

The Petitioner transferee company is to undertake to clarify and place on record all the relevant facts of the matter.

iii) It is observed from para 14(b) of the order dated 23.06.2022 passed by the Hon'ble NCLT, that there are 3 secured creditors in the transferee company. However, as per the charge Index available on MCA 21 portal, the applicant transferee company is having only two secured creditors. The details of the same are as under:

Charge ID	Name of secured creditors	Date of Creation	Amount (in Rs.)
00583892	HDFC Bank Limited	21/04/2022	707998.00
10164405	Bank of Baroda	09/06/2009 Modified on 27/08/2020	125883000.00

The transferee Company has not filed a Creation of Charge as per the requirement of Section 77 of the Companies Act,

2013 r.w. Rule 3 and Rule 8 of Companies (Register of Charges) Rules, 2014.

The Petitioner transferee company to undertake to clarify and place on record all the relevant facts of the matter.

iv) The petitioner companies to pay legal fees/costs to the central government.

v) The petitioner companies to preserve its books of accounts, papers, and records and not to dispose of them without prior permission of the Central Govt. as per the provisions of section 239 of the Companies Act, 2013.

vi) The petitioner companies to pay the necessary stamp duty on the transfer of property/assets to the respective authorities before the implementation of the scheme.

5. The Official Liquidator, attached with the Hon'ble High Court of Gujarat has filed common observations for both the petitioner companies on 10.08.2022 and seeking directions as follows:

i) The Transferor Company is having charge of Rs. 9,95,00,000/- , which appears in the Company Master Data. The Petitioner transferor company to undertake to clarify the status of the charge on the assets of the company.

ii) The appointed date of the Scheme of Amalgamation is 01.04.2021. The Shareholding is required to be furnished as of 31.03.2021. However, the transferor company had furnished

information as of 10.12.2021. Hon'ble Tribunal may be pleased to direct the applicant transferor company to place on record the status of shareholding as of 31.03.2021.

iii) The transferor company to preserve its books of accounts, papers and records and not to dispose of them without prior permission of the Central Govt. as per the provisions of section 239 of the Companies Act, 2013.

iv) The transferor company to ensure statutory compliance with all applicable laws and also on sanctioning of the scheme the transferor company shall not be absolved from any of its statutory liability, in any manner.

v) The transferee company to pay such costs and expenses to the office of the official liquidator for the transferor company, or any such amount as may be considered appropriate by the Bench.

6. The Income Tax Department filed its report dated 10.10.2022, and stated that for the assessment year 2020-21, the assessee has incurred Rs. 4,54,293/- under the head Capital Work in Progress (Sr. No. B-1-a(iii) of Balance Sheet as on 31.03.2020). The assessee has also incurred Rs. 398/- under the head other expenses due to share application money. Further, no income has been reported under the head revenue from operations of business or income from other sources. Further stated that

this office of the Income Tax Department has no objection to the merger of the petitioner companies.

7. The Petitioner Companies have filed a common affidavit in reply on 06.09.2022, to the observations of the Regional Director, RoC, and Official Liquidator The submission made in above stated reply is as follows:

   i) Upon transfer of authorized share capital of the Transferor Company into the Transferee Company, whatever additional fees are required to be paid as per the directive of Hon'ble NCLT shall be paid by the Transferee company.

   ii) That the existence of charge on MCA Portal in respect of Transferor Company under charge ID 10278599, favoring Bank of Baroda dated 19.03.2011 for Rs. 9,95,00,000/- is as a guarantor for Transferee Company. The Company has not created any charge on its assets by way of mortgage or hypothecation. In the present case, the company is only acting as guarantor for the Transferee company and therefore not required to create a charge with the office of ROC. Copy of Form 8, paid challan, guarantee agreement, etc. are annexed with this affidavit. Further, this charge under reference is in favor of the Bank of Baroda for the loan availed by the Transferee Company. Upon submission of the Scheme to the said bank for getting No Objection, the said bank had issued No Objection to the Scheme

in the form of an affidavit. A copy of the said affidavit is also annexed with this affidavit. It means that said bank is well aware of the scheme of merger wherein the Guarantor company is the transferor company and the borrower company is the Transferee company. The charge holder for the Transferor Company as Guarantor, as well as the Transferee Company as Borrower in the present case, remains the same. The promoters and shareholders of the Transferor Company and Transferee Company are also the same and no public fund is involved. Considering the same, the Bank of Baroda, being a secured creditor for both the companies to the Scheme is well aware of the proposed arrangement and has also issued No Objection to the Scheme. Further, Pursuant to the Scheme, all the charges, if any, held in the name of the Transferor Company, post-merger, will get transferred in favour of the Transferee Company. Therefore, the index of charge on the MCA Portal in favour of Bank of Baroda for the Transferor Company post-merger shall be a part of the Index of Charges for the transferee company and therefore it is not prejudicial to the interests of the charge holder upon sanctioning of the scheme. However, if any direction in this regard is to be issued by the Hon'ble Tribunal, petitioner companies will comply with the same.

iii) That the transferee company has 3 Secured Creditors, namely:

Sr. No.	Particulars	Amount (in Rs.)
1.	Bank of Baroda	8,45,56,047.90
2.	HDFC Bank	10,360,240.91
3.	ICICI Bank	1,28,798

Out of the above, the transferee company has created a charge in favour of the Bank of Baroda and HDFC Bank only.

The creation of charge in favour of ICICI Bank, a secured creditor, is for loan granted of Rs. 17 lakhs to the transferee company for purchasing a Car. Out of the same, as on date, the total outstanding is only Rs. 1,28,798/- The company is small, and promoted and run by technocrats not having sound knowledge about the Companies Act, 2013 and also not having a Company Secretary in full-time employment and due to lack of knowledge, couldn't submit documents for the creation of charge with Office of Registrar of Companies well in time. Even if the transferee company submits the same with ROC today, the MCA Portal will not allow us to submit it even with additional fees and penalties.

Further, the transferee company in the year 2017 had availed this loan amounting to Rs. 17 lakhs from ICICI Bank Ltd. As on the date of this letter, the amount of outstanding balance against the such loan is Rs. 1,28,798/- and the same will be repaid by end of December 2022. As a secured creditor, ICICI Bank Ltd. could

have initiated such action for submission of charge-related documents with the Office of Registrar of Companies, well in time, which they also have not done so. Considering the size of the Company, being closely held, and also, the size of the loan, the Hon'ble Tribunal may give appropriate directions, if deemed fit for the same including early repayment to the bank.

iv) The transferee company gave the undertaking to pay legal fees, as per the order.

v) That the Transferor and transferee companies are being run and managed by the family members and are closely held companies. The charge amounting to Rs. 9.95 Crores appears on the MCA portal under Index of Charges in favour of Bank of Baroda as a guarantor for Positronics Pvt Ltd i.e., the Transferee company. In fact, the company has not created any charge on its assets but was just acting as Guarantor and not a borrower. Copy of Form 8 (creation of charge) along with Guarantee Agreement for kind consideration is also annexed with this affidavit.

Further, the transferee company for the purpose of the dispensation of the meeting of secured creditors has obtained NOC from the said Bank in the form of an affidavit wherein the bank while issuing the said NOC were well aware of the scheme of merger of Positronics Control Systems Private Limited into Positronics Pvt Ltd. In the present case, as informed earlier,

Positronics Control Systems Private Limited is acting as a guarantor while Positronics Pvt Ltd is acting as a borrower. A copy of NOC in the form of an affidavit is also annexed with this affidavit.

Pursuant to the Scheme of Merger of Positronics Control Systems Private Limited into Positronics Pvt Ltd, all the assets including securities thereon are getting transferred to the Transferee Company. As a result, the charge appearing on the MCA website under the head Index of Charges for the transferor company will also get transferred in favour of the transferee company upon submission of the order of NCLT to ROC, i.e., effective date. As a result, the interest of the said lender bank gets protected.

Further, the responsibility of the guarantor for payment arises only upon default of payment by the principal borrower. Considering the present financial position, past financial track records, orders in hand, net assets of the company, etc. the interest of the bank as a charge holder is not affected and the transferee company is competent enough to repay its debts as and when it becomes due.

vi) That the list of shareholders as of 10.12.2021 and as of 31.03.2021 remains the same and there is no change in the shareholding pattern in the petitioner transferor company.

vii) The transferee company gave undertaking to preserve the books of accounts, papers, and records of the transferor companies and not to dispose of the same without prior permission of the Central Govt. as per the provisions of section 239 of the Companies Act, 2013.

viii) The transferee company gave undertaking to comply with statutory compliances under applicable laws and after the scheme comes into effect, all liabilities including statutory liabilities of the transferor companies will be paid by the transferee company in the ordinary course of business and as per applicable law.

8. As recorded in the daily order dated 16.12.2022, Mr. Suresh Srivastav representative of the Official Liquidator Office appeared and stated that the Office of the official liquidator does not have any objection with respect to the Scheme. Mr. Liladhar Sharma, Assistant Director, appeared for the Office of Regional Director on 16.12.2022 and stated that they do not have any objection to the scheme. Income Tax Department had submitted that they do not have any objection to the scheme.

9. In response to the clarification sought by the Bench vide order dated 20.01.2023, the petitioner companies filed an affidavit in reply on 17.02.2023, and submits as follows:

i) That the charge is in respect of a loan amounting to Rs. 17 lakhs taken from ICICI Bank, Racecourse Branch (Vadodara) as a vehicle loan. The said entire loan has been repaid in full on 22.12.2022 to ICICI Bank, as a lender. The ICICI Bank Wealth Management has issued a No Due Certificate dated 04.02.2023. A copy of the same is annexed with this affidavit along with the loan account statement. As the entire loan has been repaid, at this point, the creation of charge as required under Section 77 of the Companies Act, 2013, and as observed by the Office of Registrar of Companies does not arise.

ii) That the Chief Manager, Bank of Baroda, Khanderao Market Branch, has issued consent to the Scheme in the form of an Affidavit which is duly notarized. Due to inadvertent oversight, the stamp paper of Rs. 50/- was not attached along with the application. Original stamp paper forming part of the said affidavit was submitted.

iii) That the loan amounting to Rs. 1,28,798/- from ICICI Bank, has been repaid in full, and as on the date of this Affidavit, there is no outstanding to the said bank. No due certificate issued by the said bank is annexed with this affidavit.

10. Heard submissions and perused the documents placed on record. Considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, and the no objections

given by the respective statutory authorities, it appears that the requirements of the provisions of sections 230 and 232 are satisfied by the petitioner companies. It seems that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors. Therefore, the petition is allowed and the Scheme annexed with the petition being Arrangement in the nature of the Merger of M/s. Positronics Control Systems Private Limited with M/s. Positronics Private Limited is hereby sanctioned. It is declared that the said sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors, and all concerned under the scheme.

11. Notwithstanding the above, if any deficiency is found or, the violation committed qua any enactment, statutory rule, or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioners.

12. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST, etc., or any other charges or payment in accordance with the law, or any kind of waiver in respect of any permission/compliance with any other requirement which may be specifically required under any law.

13. **The Scheme is sanctioned with the following directions:**

i. The Scheme of Arrangement in the nature of the Merger as annexed herewith as "Annexure A" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

ii. The transferor company shall stand dissolved without winding up.

iii. All the properties mentioned in the schedule as "Annexure B", right and powers of the transferor company specified in the schedule hereto, and all the other properties, rights, and powers of the transferor company be transferred without any further act or deed to the transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, vest in the transferee company for all the estate and interest of the transferor company therein but subject nevertheless to all charges now affecting the same, if any.

iv. Upon the Scheme becoming finally effective, in consideration of the transfer of and vesting of the undertaking of the Transferor Company in the Transferee Company in terms of the Scheme, the Transferee Company shall, subject to the provisions of the Act and without any further application, act, instrument or deed, issue and allot

> *"13 (Thirteen) equity shares of Rs. 10 each fully paid up in equity share capital of Transferee company in respect of every 20 (Twenty) equity shares of Rs. 10 each fully paid up in the equity share capital of the Transferor Company."*
>
> To the person whose names are recorded in the Register of Members of the Transferor Company on such date (hereinafter called the "Record Date") to be

fixed by the Board of Directors of the Transferee Company.

v. Upon issuance and allotment of the Equity Shares by the Transferee Company to the members of the Transferor Company as provided in the Scheme, the existing Equity Shares of the Transferor Company held by its members shall automatically stand cancelled/extinguished.

vi. The shares held by the Transferor Company as members in the Transferee Company, upon Scheme become effective, the shares held by the transferor company shall extinguish thereby the total number of shares of the transferee company post-merger shall not amount to a reduction of capital as provided under Section 66 of the Companies Act, 2013 mainly due to reason that the number of shares to be issued under the Scheme shall be greater than the number of shares extinguished i.e., upon implementation of the Scheme, 1,25,000 equity shares held by transferor company gets extinguished and in turn, the transferee company shall issue 1,30,000 equity shares to the members of Transferor company.

vii. All proceedings and litigation pending or to be initiated, by or against the transferor company shall be continued by or against the transferee company.

viii. All workers/employees of all the transferor company shall be deemed to become the workers /employees of the transferee company with effect from the Appointed Date and shall stand absorbed in the transferee company in accordance with the Scheme without any interruption of service and on

terms and conditions no less favourable than those on which they are engaged by the transferor company, as on the Effective Date.

ix. The Petitioner companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration, and on such certified copy being so delivered, the entire Undertaking of the transferor company shall stand transferred to the transferee company and the Registrar of Companies shall place all documents relating to the transferor company to the file kept by them in relation to the transferee company and the files relating to the said three companies shall be treated accordingly.

x. All concerned Authorities to act on the copy of this order along with the Scheme authenticated by the Registrar of this Tribunal who shall issue the certified copy of this order along with the Scheme immediately.

xi. The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme along with Schedule of Assets of the transferor company attached as Annexure-B with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

xii. The Petitioner Companies are further directed to file a copy of this order along with a copy of the Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to a

physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

xiii. The legal fees and expenses of the office of the Regional Director are quantified at Rs. 10,000/ in respect of the petitioner companies. The said fees to the Regional Director shall be paid by the transferee company.

xiv. The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.10,000/- in respect of the petitioner transferor company. The said fees to the Official Liquidator shall be paid by the transferee company.

xv. Any person aggrieved by this Scheme shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

xvi. The Petition is allowed and disposed of, in terms of the above order.

-Sd-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-
DR. MADAN B. GOSAVI
MEMBER (JUDICIAL)

Abhishek Singh

Annexure - V

Annexure "A"

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SCHEME OF ARRANGEMENT IN THE NATURE OF MERGER

OF

POSITRONICS CONTROL SYSTEMS PRIVATE LIMITED

CIN: U33121GJ1991PTC016231

(Transferor Company)

With

POSITRONICS PVT LTD

CIN: U32201GJ1979PTC003569

(Transferee Company)

Under Sections 230 to 232 of the Companies Act, 2013

1. PREAMABLE

1.1 This Scheme of arrangement in the nature of merger is presented for the transfer and merger of **Positronics Control Systems Private Limited** (hereinafter referred as **"PCSPL"** or **"the Transferor Company"**), as going concern with **Positronics Pvt Ltd,** (hereinafter referred as "**PPL**" or "**the Transferee Company**"), pursuant to Section 230 to 232 and other applicable provisions of the Companies Act, 2013.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

S.A. PATEL & CO. VADODARA CHARTERED ACCOUNTANTS

Positronics Control Systems Pvt Ltd. For M/s. Baroda

POSITRONICS PVT. LTD. BARODA

(Both the companies referred above i.e., PCSPL and PPL are collectively referred as combined entity).

1.2 **PCSPL** was incorporated on 09th September, 1991 as a Private Limited Company under the Companies Act 1956, having its present Registered Office at 612, Yash Kamal Building, Sayajigunj, Vadodara - 390005, Gujarat with an intent to carry on business of consultancy regarding electric panels.

1.3 **PPL** was incorporated on 29th November 1979 as a Private Limited Company under the Companies Act 1956 having its present Registered Office at 882/2, GIDC Makarpura, Vadodara, Gujarat – 390010 with an object to manufacture, trade and job work of electrical control panels.

1.4 Clause No. 27 under "Other Objects" of Memorandum of Association of Transferee Company empowers to carry on business being carried out by the Transferor Company.

2. Rationale of Scheme of Merger

The Companies to this Scheme are closely held and family driven companies and have common shareholders who are holding majority stake in the Transferee Company. For the long-term benefits, to achieve synergic advantages, reduction in operating cost, to provide better services after sale to the customers and for optimum utilization of manpower, the Board of Directors of both the Companies are desirous of entering into the Scheme of arrangement in the nature of merger of Positronics Control Systems Private Limited (Transferor Company) with Positronics Pvt Ltd (Transferee Company).

Through this Scheme, the companies propose to consolidate their respective businesses in one entity, thereby, resulting into strengthening the position of the combined entity by enabling it to combine and optimize the synergies of the companies, which would be in the best interests of the companies, their respective shareholders and other stakeholders. The management of these companies believe that this Scheme shall benefit the respective companies and its stakeholders, inter-alia, on account of the following reasons:

a) Greater financial strength and flexibility for the combined entities, which would result in maximizing overall shareholders value and improve the economic and competitive position of the combined entity;

b) Opportunities,to strengthen leverage for raising resources to finance business needs and strengthen the financial position of the combined entity for future growth and expansion and to create a business structure, which is geared to take advantage of possible growth opportunities;

c) Achieve greater efficiencies in operations with optimum utilization of resources. Increased cost savings are expected to flow from focused operational efforts, rationalization, standardization and simplification of business processes and optimum utilization of human resources;

d) Reduction of overheads and other expenses consolidation of businesses under one roof and facilitate administrative convenience on account of reduction in number of entities and reduced regulatory compliance thereof;

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M/s Poseitronics Control Systems Pvt. Ltd. Baroda
POSEITRONICS PVT. LTD. BARODA

e) Additional thrust on the combined entities in terms of proximity of trading facilities enabling optimum use of the resources resulting in growth prospects and expansion plans;

f) Better financial, business and operational prospects including, but not limited to efficient management of costs and improved administrative control of the combined entities.

g) Optimum usage of unutilized resources of the transferor company to achieve better strength in all respects.

In view of the aforesaid advantages, the Board of Directors of the Companies i.e., the Transferor Company and Transferee Company at their meetings held on 15th **December, 2021** have considered and proposed the Scheme of arrangement in nature of merger under the provisions of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013

3 Definitions

In this Scheme, unless inconsistent with the subject or context, the following expressions shall have the following meanings:

3.1 **"Act"** means the Companies Act, 2013 or any statutory modification or re-enactment thereof for the time being in force.

3.2 **"Appointed Date"** means 01st April, 2021 or such other date as the National Company Law Tribunal may direct.

3.3 **"Effective Date"** means the date on which the certified copy of the order sanctioning the Scheme issued by National Company Law Tribunal (NCLT/Tribunal) is filed with the Office of the Registrar of Companies (ROC).

3.4 **"Employees"** means all staff and employees engaged in the business or in connection with the Transferor Company and on the rolls of the Transferor Company on the closing hours of the date immediately preceding the Effective Date.

3.5 **"Record Date"** means the date to be fixed by the Board of Directors of the Transferee Company for the purpose of determining the respective equity shareholders of the

Transferor Company, who shall be entitled to receive equity shares of the Transferee Company as per Clause 15 of this Scheme.

3.6 **"Tribunal"** -means the National Company Law Tribunal (NCLT) at Ahmedabad.

3.7 **"Transferor Company"** means Positronics Control Systems Private Limited, CIN: U33121GJ1991PTC016231, a Company incorporated under the Companies Act, 1956, having its Registered Office at 612, Yash Kamal Building, Sayajigunj, Vadodara - 390005, Gujarat.

3.8 **"Transferee Company"** means Positronics Pvt Ltd, CIN: U32201GJ1979PTC003569, a company incorporated under the Companies Act, 1956, having its Registered Office at 882/2, GIDC Makarpura, Vadodara, Gujarat - 390010.

3.9 **"Scheme"** means this Scheme of arrangement in the nature of merger in its present form or with any modification(s) to be approved or imposed or directed by the Tribunal.

3.10 **"Undertaking"** shall mean and include:

I) All the assets of the Transferor Company as on the Appointed Date (hereinafter referred to as the "said Assets").

II) All secured and unsecured debts (whether in Rupees or in foreign currency), all other liabilities duties and obligations of the Transferor Company as on the Appointed Date (hereinafter referred to as the "said Liabilities").

III) Without prejudice to the generality of Sub-clauses (I) and (II) above, the undertaking of the Transferor Company shall include all preliminary and pre-operative expenses, assets, investments, claims powers, authorities, allotments, approvals, consents, contracts, enactments, arrangements rights, titles, interests, benefits, advantages, lease-hold rights and other intangible rights, hire purchase contracts and assets, lending contracts, benefit of any security arrangements, reversions, powers permits, quotas, entitlements, registrations, licenses (industrial or otherwise), municipal permissions, systems of any kind whatsoever, rights

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M/s. Bonitronics Control Systems Pvt. Ltd. Baroda
BONITRONICS PVT. LTD. BARODA

and benefits of all agreements and other interests including rights and benefits under various schemes of different taxation laws as may belong to or be available to the Transferor Company, rights and powers of every kind, nature and description of whatsoever probabilities, liberties, easements, advantages and approval of whatsoever nature and whosesoever situated, belonging to or in ownership of the Transferor Company, including but without being limited to trade and services marks, patents, copyrights, brand names, and any other intellectual property rights of any nature whatsoever, authorizations, permits, rights to use and avail of telephones, telexes, facsimile, email, internet, lease line connections and installations, utilities, electricity and other services, all records, files, papers, computer programs, software, know-how, manuals, data, catalogues, sales and advertising materials, lists and other details of present and former customers and suppliers, customer credit information, customer and supplier pricing information and other records in connection with or relation to the Transferor Company and all other interests of whatsoever nature belonging to or in the ownership, power, possession of, the company or

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For Baroda Polytronics Control Systems Pvt. Ltd.
POLYTRONICS PVT. LTD.

vested in or granted in favour of or held for the benefit of or enjoyed by the Transferor Company whether in India or abroad including its employees which are working with the Company as on the Appointed Date.

IV) All records, files, papers, computer programs, computer software's, manuals, data catalogues, quotations, sales and advertising materials, list of present and former customers and suppliers, customers credit information, customers pricing information and other records, whether in physical form or electronic form in connection with or relating to the Undertaking.

V) All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof have the same meaning described to them under the Companies Act, 2013, the Securities Contracts (Regulation) Act, 1956 and other applicable laws, rules, regulations, bye-laws as the case may be or any statutory modifications or re-enactment thereof from time to time.

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M/s. Boshtronics Control Systems Pvt. Ltd. For Baroda
BOSHTRONICS PVT. LTD. BARODA

VI) All Lease Agreements, if any, with the Transferee Company shall be extinguished as such lease property shall be transferred to the Transferee Company.

4 DATE OF TAKING EFFECT AND OPERATIVE DATE

The Scheme sets out herein its present form or with any modification(s) approved or imposed or directed by the Tribunal, shall be effective from the Appointed Date but shall be operative from the Effective Date

5 SHARE CAPITAL

5.1 The Share Capital of Positronics Control Systems Private Limited (Transferor Company) as on March 31, 2021 is as under:

Particulars	Amount (in Rs.)
Authorised Share Capital	
2,00,000 Equity shares of Rs. 10/- each	20,00,000
TOTAL	20,00,000
Issued, Subscribed and Paid-up Share capital	
2,00,000 Equity shares of Rs. 10/- each fully paid up	20,00,000
TOTAL	20,00,000

Subsequent to March 31, 2021, there is no change in the capital structure of the above Transferor Company

5.2 The share capital of Positronics Pvt Ltd (Transferee Company) as on March 31, 2021 is as under

Particulars	Amount (in Rs.)
Authorised Share Capital	
12,50,000 Equity Shares of Rs. 10/- each	1,25,00,000
TOTAL	**1,25,00,000**
Issued, Subscribed and Paid-up share capital	
4,65,000 Equity Shares of Rs. 10/- each fully paid up	46,50,000
TOTAL	**46,50,000**

Subsequent to March 31, 2021, there is no change in the capital structure of the above Transferee Company

6 TRANSFER AND VESTING OF UNDERTAKING OF TRANSFEROR COMPANIES:

6.1. With effect from the Appointed Date and subject to the provisions of this Scheme and pursuant to the provisions of Sections 230 to 232 and all other applicable provisions, if any, of the Act and in relation to the mode of transfer and vesting, the undertakings of the Transferor Company shall, without any further act, instrument or deed, be and shall stand transferred to and/or vested in or deemed to have been and stand transferred to or vested in the Transferee Company as a going concern so as to become as and from the Appointed Date, the estate, rights, titles and interests and authorities of the Transferee Company pursuant to the provisions of Section 230 to 232 and other applicable provisions of the Act.

6.2. The transfer and/or vesting as aforesaid shall be subject to the existing charges, hypothecation and mortgages, if any, over or in respect of all the aforesaid assets or any part thereof of the Transferor Company.

Provided, however, that any reference on any security documents or arrangements, to which the Transferor Company are party to the assets of the Transferor Company to which they have offered or agreed to be offered as security for any financial assistance or

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obligations, to the secured creditors of the Transferor Company, shall be construed as reference only to the assets pertaining of the Transferor Company as are vested in the Transferee Company by virtue of the aforesaid clause, to the end and intent that such security, mortgage and charge shall not extend or be deemed to extend, to any of the assets or to any of the other units or divisions of the Transferee Company, unless specifically agreed by the Transferee Company with such secured creditors and subject to the consents and approvals of the existing secured creditors of the Transferee Company.

Provided always that the Scheme shall not operate to enlarge the security of any loan deposit or facility created by or available to the Transferor Company which shall vest in the Transferee Company by virtue of the Scheme and the Transferee Company shall not be obliged to create any further or additional security thereof, after the Scheme has become effective or otherwise.

6.3. Without prejudice to the generality of Clause 6.1 above, it is expressly provided that with effect from the Appointed Date and upon this Scheme becoming effective, all immovable properties (including land together with the buildings and structures standing thereon) and rights and

interest in immovable properties of the Transferor Company, whether freehold or otherwise, all tenancies and all documents of title, rights and easements in relation thereto, shall stand transferred to and be vested in and transferred to and/or be deemed to have been and stand transferred to and vested in the Transferee Company, without any further act or deed done by the Transferee Company. The Transferee Company shall be entitled to exercise all rights and privileges attached thereto. The relevant authorities shall grant all clearances/permissions, if any, required for enabling the Transferee Company to absolutely own and enjoy the immovable properties in accordance with law. The mutation or substitution of the title to the immovable properties and membership shall upon this Scheme becoming effective, be made and duly recorded in the name of the Transferee Company by the appropriate authorities pursuant to the sanction of this Scheme by the Tribunal in accordance with the terms hereof.

6.4 Without prejudice to Clause 6.1 above, it is expressly provided that in respect of such of the said assets as are movable in nature or are otherwise capable of transfer by manual delivery or by endorsement and delivery, the same shall be so transferred by the Transferor Company

and shall become the property of the Transferee Company in pursuance of the provisions of Section 232 and other applicable provisions of the said Act

6.5. With effect from the Appointed Date and subject to the provisions of this Scheme, all the Liabilities of the said Transferor Company shall also be and shall stand transferred or deemed to have been transferred without any further act, instrument or deed of the Transferee Company, pursuant to the provisions of Section 232 and other applicable provisions of the Act, so as to become as and from the Appointed Date, the debts, liabilities, duties and obligations of the Transferee Company and further that it shall not be necessary to obtain consent of any third party or other person who is a party to the contract or arrangements by virtue of which such debts, liabilities, duties and obligations have arisen, in order to give effect to the provisions of this Clause

6.6. The Transferor Company shall give notice in such form as it may deem fit and proper to each party, debtors or depositors as the case may be, that pursuant to the Tribunal sanctioning the Scheme, the said debt, loan, advance etc. be paid or made good or held on account of the Transferee Company as the person entitled thereto to

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the end and intent that the right of the Transferor Company to recover or realize the same stands extinguished.

6.7. The Transferee Company may, if required, give notice in such form as it may deem fit and proper to each person, debtors or depositors that pursuant to the Tribunal having sanctioned the Scheme, the said persons, debtors or depositor should pay the debt, loan or advance or make good the same or hold the same to its account and that the right of the Transferee Company to recover or realize the same is in substitution of the right of the Transferor Company.

6.8 The existing securities, mortgages, charges, encumbrances or liens (the "Encumbrances") or those, if any, created by Transferor Company on or after the Appointed Date, in terms of this Scheme, over the assets comprised in the Undertakings or any part thereof, be transferred to the Transferee Company by virtue of this Scheme, shall after the Effective Date, continue to exclusively relate and attach to such assets or any part thereof, to which they are related or attached prior to the Effective Date. It is clarified that upon the Effective Date, the Encumbrances of the relevant Undertaking shall not extend or attach to any assets of the Transferee

Company. Similarly, the Encumbrances of the Transferee Company shall not extend or attach to any assets of the Transferor Company existing prior to the Effective Date. Without prejudice to the above and upon the effectiveness of this Scheme, the Transferor Company and Transferee Company shall execute any instruments or documents or do all the acts and deeds as may be required, including the filing of necessary particulars and/or modification(s) of charge, with the Appropriate Authorities to give formal effect to the above provisions, if required.

6.9. It is expressly provided that, save as mentioned in this Scheme, no other terms or conditions of the liabilities transferred to the Transferee Company is modified by the virtue of this Scheme except to the extent that such amendment is required by necessary implication.

6.10. With effect from the Appointed Date, any statutory licenses, permissions, approvals and/or consents held by the Transferor Company required to carry on operations shall stand vested in or transferred to Transferee Company without any further act or deed and shall be appropriately mutated by the statutory authorities or any other person concerned therewith, in favour of the Transferee Company. The benefit of all statutory and

regulatory permissions, licenses, environmental approvals and consents including the statutory licenses, permissions or approvals or consents required to carry on the operations of the Transferor Company shall vest in and become available to the Transferee Company pursuant to the Scheme coming into effect.

6.11. The entitlement to various benefits under incentive schemes and policies in relation to the Undertaking of the Transferor Company shall stand transferred to and be vested in and/or be deemed to have been transferred to and vested in the Transferee Company together with all benefits, entitlements and incentives of any nature whatsoever. Such entitlements shall include incentives available under applicable laws in relation to the Undertakings of the Transferor Company to be claimed by the Transferee Company with effect from the Appointed Date as if the Transferee Company was originally entitled to all such benefits under such incentive scheme and/or policies, subject to continued compliance by the Transferee Company of all the terms and conditions subject to which the benefits under such incentive schemes were made available to the Transferor Company.

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7 CONTRACTS, DEEDS AND OTHER INSTRUMENTS:

Subject to all the provisions of this Scheme, all contracts, deeds, bonds, agreements, arrangements and other instruments of whatsoever nature to which the Transferor Company are party or to the benefits of which the Transferor Company may be eligible and which are subsisting or having effect immediately before the Effective Date, shall be in full force and effect against or in favour of the Transferee Company as the case may be, and may be enforced as fully and effectively as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary thereto. The Transferee Company shall enter into and/or issue and/or execute deeds, writings or confirmations or enter into a tripartite arrangement, confirmation or novation to which the Transferor Company will, if necessary, also be a party in order to give formal effect to this Clause, if so required or become necessary.

The resolutions, if any, of the Transferor Company which are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions of the Transferee Company and if any such resolutions have upper monetary or other limits being imposed under the provisions of the Act, or any other applicable provisions, the said limits

shall be added and shall constitute the aggregate of the said limits in the Transferee Company

8 ACCOUNTING TREATMENTS IN THE BOOKS OF TRANSFEREE COMPANY:

Upon coming into effect of this Scheme and on and from the Appointed Date and subject to any corrections and adjustments as may be, in the opinion of the Board of Directors of the Transferee Company, in consultation with the statutory auditors of the Company, be required, the Transferee Company shall account for the Merger in its books as under.

8.1 Merger of the Transferor Company with the Transferee Company shall be accounted in accordance with the Pooling of Interest method of Indian Accounting Standard – 14 as notified under the Act.

8.2 All assets and liabilities, including reserves, of the Transferor Company shall be recorded in the books of account of the Transferee Company at their existing carrying amounts and in the same form as they appear in the financial statement of the Transferor Company.

8.3 The difference between amount recorded as issued share capital in the books of the Transferee Company and the amount of share capital of the Transferor Company shall be adjusted in Reserves.

8.4 All inter-corporate deposits, loans and advances, outstanding balances, or other obligations, if any, between the Transferor Company and the Transferee Company, shall be cancelled and there shall be no obligation /outstanding in that behalf.

8.5 In case of any differences in accounting policy between the Transferee Company and the Transferor Company, the impact of the same till the Appointed Date will be quantified and recorded in accordance with the applicable Accounting Standards notified under the Act to ensure that the financial statements of the Transferee Company reflect the financial position based on consistent accounting policy.

9 TREATMENT OF TAXES PAID BY THE TRANSFEROR COMPANY:

All taxes, levies, cess etc. (whether direct or indirect) that might have been paid by the Transferor Company (whether before the Appointed Date or after the Appointed Date) during the period

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when the merger has not become effective for any tax liability that arises after the Appointed Date shall be deemed to be tax paid by the Transferee Company and credit in respect thereof shall be given to the Transferee Company accordingly.

Any arrears of statutory taxes or cess or such other dues to Government or Semi-Government organization prior to the appointed date remaining unpaid by Transferor Company shall be upon scheme coming into effect be paid by Transferee company.

10 TREATMENT OF SCHEME FOR THE PURPOSES OF THE INCOME- TAX ACT, 1961

10.1 This Scheme has been drawn up to comply and come within the definition and conditions relating to "Merger" as specified under Section 2(1B) and Section 47 of the Income-tax Act, 1961.

10.2 If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said sections of the Income-tax Act, 1961, at a later date, including resulting from an amendment of any Applicable Law or for any other reason whatsoever, the Scheme shall stand modified/ amended to the extent determined necessary to comply "Merger" as specified in the Income-tax Act, 1961. In such a[illegible] clauses which are

inconsistent shall be read down or if the need arises be deemed to be deleted and such modification/reading down or deemed deletion shall however, not affect the other parts of the Scheme.

10.3 Upon coming into effect of this Scheme, the loss brought forward and unabsorbed depreciation as per books of account as on Appointed Date of Transferor Company would be deemed to be loss brought forward and unabsorbed depreciation of the Transferee Company as per books of accounts of the Transferee Company.

11 CONDUCT OF BUSINESSES UNTIL EFFECTIVE DATE

With effect from the Appointed Date and upto the Effective Date:

11.1 The Transferor Company shall carry on and shall be deemed to have carried on all its businesses and activities as hitherto and shall be deemed to have held and stood possessed of the Undertakings on account of and for the benefit of and in trust for the Transferee Company. All the profits or incomes accruing or arising to the Transferor Company or expenditure or losses arising or incurred (including the effect of taxes, if any thereon) of the Transferor Company shall, for all purposes be

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treated and be deemed to be and accrued as the profits or incomes or expenditure or losses or taxes of the Transferee Company, as the case may be. The Transferor Company shall carry on its businesses and activities with reasonable diligence, business prudence and shall not, alienate, charge, mortgage, encumber or otherwise deal with the said assets or any part thereof except in the ordinary course of business or if the same is expressly permitted by this Scheme or pursuant to any pre-existing obligation undertaken by the Transferor Company prior to the Appointed Date except with prior written consent of the Transferee Company.

11.2 Provided that as far as the obligations referred as above are concerned, the restrictions thereunder shall be applicable from the date of the acceptance of the present Scheme by the respective Board of Directors of the Transferor Company and the Transferee Company even if the same are prior to the Appointed Date.

11.3 The Transferor Company shall not vary the terms and conditions of employment of permanent employees except in ordinary course of business.

11.4 The Transferor Company shall not, without prior written consent of the Transferee Company undertake any new business.

11.5 The Transferor Company shall not, without prior written consent of the Transferee Company, take any major policy decisions in respect of management of the Company and for business of the Company and shall not change its present Capital Structure.

11.6 The Transferor Company and the Transferee Company shall not make any change in their respective capital structure either by any increase, (by issue of equity shares on a right basis, bonus shares, convertible debentures or otherwise) decrease, reduction, reclassification, sub-division or consolidation, re-organization or in any other manner which may, in any way, affect the Share Exchange Ratio in respect of Transferor Company (as defined in Clause 15 below), except by mutual consent of the respective Board of Directors of the Transferor Company and the Transferee Company or except as may be expressly permitted under this Scheme.

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12 LEGAL PROCEEDINGS:

12.1 All suits, actions, writ petitions, revisions or other proceedings of whatever nature (hereinafter called "the Proceedings") by or against the Transferor Company pending and/or arising on or before the Effective Date shall not abate, be discontinued or be in any way prejudicially affected by reason of the transfer of the Undertaking of the Transferor Company pursuant to the proposed "Merger" of the Transferor Company with the Transferee Company or anything contained in the Scheme, but the proceedings may be continued, prosecuted and enforced by or against the Transferee Company as effectively and in the same manner and to the same extent as it would be or might have been continued, prosecuted and enforced by or against the said Transferor Company as if the Scheme had not been made.

12.2 The Transferee Company will undertake to have all legal or other proceedings initiated by or against the Transferor Company referred to in Clause 11.1 above transferred to its name and to have the same continued, prosecuted and enforced by or against the Transferee Company. On and from the Effective Date, the Transferee Company

shall and may initiate any legal proceedings for and on behalf of the Transferor Company.

13 SAVING OF CONCLUDED TRANSACTIONS

The transfer and vesting of the properties, liabilities and obligations of the Transferor Company pursuant to this Scheme shall not affect any transactions or proceedings already completed by Transferor Company on or before the Appointed Date to the end and intent that Transferee Company accepts all acts, deeds and things done and executed by and/or on behalf of Transferor Company which shall vest in Transferee Company in terms of this Scheme as acts, deeds and things made, done and executed by and on behalf of the Transferee Company.

14 STAFF, WORKMEN AND EMPLOYEES

14.1 On the Scheme becoming effective, all the employees and workmen, if any, of the Transferor Company who are in service on the date immediately preceding the Effective Date shall become the employees of the Transferee Company, without any break or interruption in their services, on same terms and conditions on which they are engaged as on the Effective Date. Transferee Company further agrees that for the purpose of payment of any retirement benefit / compensation to such immediate

uninterrupted past services with Transferor Company shall also be taken into account.

14.2 The accounts / funds of the employees, whose services are transferred under Clause 14.1 above, relating to superannuation, provident fund and gratuity fund shall be identified, determined and transferred to the respective Trusts / Funds of RCPL and such employees shall be deemed to have become members of such Trusts / Funds of RCPL.

15 ISSUE OF SHARES BY THE TRANSFEREE COMPANY:

15.1 Upon the Scheme becoming finally effective, in consideration of the transfer of and vesting of the undertaking of the Transferor Company in the Transferee Company in terms of the Scheme, the Transferee Company shall, subject to the provisions of the Act and without any further application, act, instrument or deed issue and allot

a) 13 (Thirteen) equity shares of Rs. 10 each fully paid up in equity share capital of Transferee company in respect of every 20 (Twenty) equity shares of Rs. 10 each fully paid up in the equity share capital of the Transferor Company.

To the person whose names are recorded in the Register of Members of the Transferor Company on such date (here in after called the "Record Date") to be fixed by the Board of Directors of the Transferee Company.

15.2 The said new equity shares to be issued and allotted by the Transferee Company in terms of this Scheme shall be subject to the provisions of the Memorandum and Articles of Association of the Transferee Company and shall rank for voting rights and all other respects pari-passu with the existing equity shares of the Transferee Company, save and except that the owners of such Equity Shares shall be entitled to dividend declared and paid by the Transferee Company only after the Record Date for the purpose of allotment of the Transferee Company's shares to the members of the Transferor Company pursuant to the approval of the Scheme.

15.3 No fractional entitlements shall be issued by the Transferee Company in respect of the fractional entitlements. The fractions, if any, arising due to the above Exchange Ratio shall be paid in cash.

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15.4 The issue and allotment of Equity Shares by the Transferee Company as provided in the Scheme shall be deemed to have been carried out by following the procedure laid down under Section 42 and 62 as well as other applicable provisions of the Act read with the applicable rules.

15.5 Upon issuance and allotment of the Equity Shares by the Transferee Company to the members of the Transferor Company as provided in the Scheme, the existing Equity Shares of the Transferor Company held by its members shall automatically stand cancelled / extinguished.

15.6 The shares held by the Transferor Company as members in the Transferee Company, upon Scheme become effective, the shares held by the transferor company shall extinguish thereby the total number of shares of transferee company post-merger shall not amount to reduction of capital as provided under Section 66 of the Companies Act, 2013 mainly due to reason that the number of shares to be issued under the Scheme shall be greater than number of shares extinguished i.e., upon implementation of the Scheme, 1,25,000 equity shares held by transferor company gets extinguished and in turn

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the transferee company shall issue 1,30,000 equity shares to the members of Transferor company.

16 REORGANISATION OF AUTHORISED SHARE CAPITAL OF THE TRANSFEREE COMPANY

Upon sanction of this Scheme, the Authorised Share Capital of the Transferee Company shall automatically stand increased without any further act, instrument, or deed on the part of the Transferee Company including payment of stamp duty and fees payable to the Registrar of Companies, by the transfer of Authorised Share Capital of the Transferor Company as on the Effective Date.

The Memorandum of Association and Articles of Association of the Transferee Company (relating to the authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified and amended, pursuant to Sections 13, 14, 61, 230, 232 and other applicable provisions of the Companies Act, 2013 as the case may be and for this purpose the stamp duties and fees paid on the authorized capital of the Transferor Company shall be utilized and applied to the increased authorized share capital of the Transferee Company and no payment of any extra stamp duty and/or fee shall be payable by Transferee Company for increase in the Authorised Share Capital to that extent. However, as per Section 232(3)(

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where the transferor Company is dissolved, the fee, if any, paid by the Transferor Company on its Authorized Capital shall be set- off against any fees payable by the Transferee Company on its Authorized Capital subsequent to the Scheme become effective.

As an integral part of this Scheme and upon the effectiveness of this Scheme, the Authorised equity share capital of the Transferor Company- 2,00,000 Equity shares of Rs. 10 each aggregating to Rs. 20,00,000 all in aggregate for Transferor Company amounting to Rs. 20,00,000/- (Twenty Lakh Rupees) shall stand consolidated and vested in and merged with the Authorized Share Capital of the Transferee Company. Consequent to transfer of existing Authorized Share Capital of the Transferor Company, the Authorized Share Capital of the Transferee Company of Rs. 1,25,00,000/- (One Crore Twenty-Five Lakhs Rupees) divided in 12,50,000 Equity shares of Rs 10/- each, shall stand increased by an aggregate amount of Rs. 20,00,000/- (Twenty Lakhs Rupees Only), and the resultant authorized share Capital of Transferee Company shall be Rs. 1,45,00,000/- (Rupees One Crore Forty-Five Lakh) divided into 14,50,000 (Fourteen Lakh Fifty Thousand) Equity Share of Rs. 10/- each. Accordingly, Clause V of the Memorandum of Association of the Transferee Company shall stand, without any

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further action or deed modified and be substituted by the following:

The authorized share capital of the Company is Rs. 1,45,00,000/- (Rupees One Crore Forty-Five Lakhs only) divided into 14,50,000 (Fourteen Lakhs Fifty Thousand) equity shares of face value Rs. 10/- (Rupees Ten only) each.

PAID-UP CAPITAL

1,25,000 fully paid-up equity shares held by Transferor Company into the paid-up capital of Transferee Company, shall stand extinguished consequence upon this Scheme becoming effective. The said shares will get cancelled from the total paid up capital of 4,65,000 shares of the transferee company. However, pursuant to this scheme, upon its implementation, the transferee company is further issuing 1,30,000 fully paid up equity shares to the members of the transferor company. As a result, overall paid up capital of the transferee company, upon the scheme becoming effective, shall be 4,70,000 fully paid up equity shares. Hence, the total paid up capital under the Scheme, upon its implementation, is not getting reduced and therefore this scheme's overall effect will not amount to reduction of issued capital.

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17 DISSOLUTION OF THE COMPANY:

The Transferor Company shall be dissolved without winding up on an order made by the Tribunal under Section 230, 232 the said Act.

18. APPLICATION TO NATIONAL COMPANY LAW TRIBUNAL:

18.1 The Transferor Company as well as the Transferee Company shall, with all reasonable dispatch, make necessary applications to National Company Law Tribunals, Ahmedabad Bench (Tribunal) for seeking appropriate order for either dispensation of meetings or for directions of holding and conducting of meeting(s) of the members and/or creditors of these companies, as may be directed by the Tribunal or such other appropriate authority.

18.2 On the Scheme being approved by the requisite majorities of the members and / or creditors of these companies, whether at a meeting or otherwise, as prescribed under the law and / or as directed by the Tribunal or such other appropriate authority, the companies shall, with all reasonable dispatch, apply to the Tribunal or such other appropriate authority for sanctioning of the Scheme under Sections 230 to 232 of the Compa[illegible] 2013 and for

such other order or orders, as the said Tribunal or such other authority may deemed fit for carrying this Scheme into effect.

19. MODIFICATIONS, AMENDMENTS TO THE SCHEME:

The Transferor Company (by their respective Directors) and Transferee Company (by their respective Directors) may assent from time to time on behalf of all persons concerned to any modifications or amendments or addition to this Scheme or to any conditions or limitations which the Tribunal or any authorities under the Law may deem fit to approve of or impose and to resolve any doubt or difficulties that may arise for carrying out this Scheme and to do and execute all such acts, deeds, matters and things as may be necessary, desirable or proper for carrying the Scheme into effect

For the purpose of giving effect of this Scheme or to any modifications or amendments, thereof, the Directors of the Transferor Company and Transferee Company may give and are authorised to give all such directions that are necessary or are desirable including directions for settling any doubts or difficulties that may arise.

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20. SCHEME CONDITIONAL UPON APPROVALS/ SANCTIONS/ CONDITIONALITY OF THE SCHEME:

This Scheme is specifically conditional upon and subject to:

The approval of the Scheme by the requisite majority of such classes of members and creditors of the Transferor Company and the Transferee Company as may be directed by the Tribunal on the applications made for directions under Section 230 to 232 of the said Act.

The sanction of the Tribunal being obtained under Sections 230 to 232 and other applicable provisions of the Act, if so required on behalf of the Transferor Company and Transferee Company.

It being fully effective in accordance with sanctions of scheme of merger under section 230 to 232 of the Act.

Filing certified copies of the Tribunal orders referred to in this Scheme being filed with the Registrar of Companies, Gujarat by the Transferor Company and the Transferee Company.

21. EFFECT OF NON-RECEIPT OF APPROVAL/ SANCTION:

In the event of any approvals or conditions enumerated in the Scheme not being obtained or complied with or for any other reason, the Scheme cannot be implemented, the Boards of Directors of the Transferee Company and the Transferor Company shall mutually waive such conditions in writing as they consider appropriate to give effect, as far as possible, to this Scheme and failing such mutual agreement or in case the Scheme not being sanctioned by the Tribunal, the Scheme shall become null and void and each party shall bear and pay their respective costs, charges and expenses in connection with the Scheme.

22. EXPENSES CONNECTED WITH THE SCHEME:

All costs, charges and expenses, including any taxes and duties of the Transferor Company and the Transferee Company respectively in relation to or in connection with this Scheme and incidental to the completion of the merger of the Transferor Company in pursuance of this Scheme shall be borne by the Transferee Company only.

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Annexure "B"

POSITRONICS CONTROL SYSTEMS PVT. LTD.

ONE STOP SOLUTION FOR POWER APPLICATIONS

List of Assets of **POSITRONICS CONTROL SYSTEMS PRIVATE LIMITED** as on 04/01/2023 to be transferred to **POSITRONICS PRIVATE LIMITED** pursuant to the Scheme sanctioned by the Hon'ble National Company Law Tribunal, Bench at Ahmedabad.

SCHEDULE

Part I

Particulars of Freehold Properties

I	Land:	-
II	Building:	-
III	Plant and Machinery:	-

Part II

Particulars of Leasehold Properties:

I	Land:	-
II	Building:	-
III	Plant and Machinery:	-

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Part III

A. Particulars of Investment in Shares and Securities:

Sr. No.	Name of the Company and Description	No. of Shares	Face Value in Rs.	Current Market In Rs.
1	Positronics Private Limited ("The Transferee Company") (The	1,25,000	10	2,62,50,000

	mentioned shares shall stand extinguished in the nature of scheme of merger)		(200/- share premium)	

B. Particulars of Bank Accounts:

Sr. No	Bank and Branch	Type of Account	Account No
01	Bank Of Baroda, Khanderao Market Branch	Current account	01900200000746
02	Bank Of Baroda, Khanderao Market Branch	FDR	01900300052230
03	Bank Of Baroda, Khanderao Market Branch	FDR	01900300052231
04	Bank Of Baroda, Khanderao Market Branch	FDR	01900300052232

C. Registration with Various Authorities under respective law, Bodies etc.:

Nature of Authority	Nature of Registration	Registration Number
Income Department Tax	PAN	AABCP2446B
	TAN	N.A.
Sales Department Tax	-	-
Service Department Tax	S.T.Reg. No.	Not Registered
	Input Service Distributor Reg. No.	N.A.
Excise and Customs	-	N.A.
Excise Registration No.	-	N.A.

POSITRONICS CONTROL SYSTEMS PVT. LTD.

ONE STOP SOLUTION FOR POWER APPLICATIONS

Ministry of Industries Government of India	-	-
Registrar of Company CIN	U33121GJ1991PTC016231	
Udyam Registration No. (MSME)		Not Registered
Reg. No (Gujarat) DIC Office		-
PF Registration No		-
ESI Registration		-
PROFESSIONAL TAX REGISTRATION NO.		-
LIC Group Gratuity Policy No		-
Contractual Labour Registration No		-
Electricity Connections		-
Telephone Connections	BSNL Customer ID: Account No.: ¤ Phone No.:	-
Any other in any	GST NO.	-

POSITRONICS CONTROL SYSTEMS PVT. LTD.

ONE STOP SOLUTION FOR POWER APPLICATIONS

D	Vehicles	Description and Registration No.
		Nil

FOR, POSITRONICS CONTROL SYSTEMS PRIVATE LIMITED

ANIL JAYWANT BORDAVEKAR
WHOLE-TIME DIRECTOR
DIN: - 00236103

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD